OSFI GUIDELINE B-13

Technology and Cyber Risk Management

Gap Assessment -- Company Profile and Assessment Scope

Lakeview Trust Corporation

Toronto, Ontario | Federally Regulated Trust Company

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Prepared by: Ashkon Irani | Classification: Confidential

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Related Documents	LT-B13-002 Gap Analysis Spreadsheet, LT-B13-003 Executive Summary Report

1. Purpose of This Document

This document establishes the foundation for Lakeview Trust Corporation's assessment of compliance with OSFI Guideline B-13 -- Technology and Cyber Risk Management. It defines who Lakeview Trust is as an organization, why B-13 applies to it, the boundaries of this assessment, the methodology used to evaluate gaps, and the criteria against which findings will be rated.

This document is the first of three deliverables in the B-13 gap assessment series. It should be read before consulting the Gap Analysis Spreadsheet (LT-B13-002) or the Executive Summary Report (LT-B13-003), as the context established here informs every finding and recommendation in those documents.

> This assessment has been prepared to give Lakeview Trust Corporation's board of directors and executive leadership an honest, evidence-based picture of the organization's current compliance posture against OSFI B-13 -- not to present the most favorable interpretation of that posture.

2. About Lakeview Trust Corporation

Understanding who Lakeview Trust is as an organization is essential context for every gap finding in this assessment. The nature of the institution, the systems it operates, and the clients it serves determine which B-13 requirements apply with greatest urgency and at what maturity level OSFI would expect them to be implemented.

2.1 Organizational Profile

Legal Name	Lakeview Trust Corporation
Headquarters	181 Bay Street, Toronto, Ontario, M5J 2T3
Entity Type	Federally regulated trust company incorporated under the Trust and Loan Companies Act (Canada)
Primary Regulator	Office of the Superintendent of Financial Institutions (OSFI)
Secondary Regulators	Financial Consumer Agency of Canada (FCAC), Office of the Privacy Commissioner of Canada (OPC)
Year Established	1987
Total Employees	850 full-time equivalents, including 120 technology and operations staff
Total Assets Under Admin	Approximately CAD $14.2 billion
Credit Rating	A- (stable outlook) -- DBRS Morningstar

2.2 Business Lines

Lakeview Trust operates three primary business lines, each with distinct technology and data handling requirements that affect B-13 compliance obligations.

Business Line	Description	Key Technology Dependency
Residential Mortgage Lending	Origination, underwriting, and servicing of residential mortgages across Canada. Lakeview Trust is an approved lender under CMHC mortgage insurance programs.	FIS mortgage origination and servicing platform. Digital application portal. Credit bureau integrations.
Personal Trust Services	Estate administration, powers of attorney, and personal trust management for high-net-worth clients. Lakeview Trust acts as trustee and executor for approximately 2,400 active trust files.	Fiduciary management system. Document management platform. Client portal for beneficiary reporting.

Registered Investment Accounts	Administration of RRSPs, TFSAs, RRIFs, and RESPs for retail clients. Approximately 68,000 registered accounts under administration.	Core banking platform. CRA reporting integrations. Client online banking portal.

2.3 Technology Environment

The following systems constitute Lakeview Trust's primary technology environment within the scope of this B-13 assessment. Understanding these systems is necessary for evaluating the applicability and urgency of each B-13 requirement.

System	Function	Hosting	Data Classification
Microsoft Azure (Canada Central)	Primary cloud platform hosting client-facing applications, internal workloads, and data storage	Cloud -- Canada Central region	Restricted and Confidential including personal financial data and trust documentation
FIS Mortgage Platform	Core mortgage origination, underwriting, and servicing system	SaaS -- FIS managed hosting	Restricted -- customer financial data, credit information, property data
Fiduciary Management System	Trust administration, estate management, and beneficiary reporting	On-premises -- Toronto data centre	Restricted -- highly sensitive personal and estate information
Core Banking Platform	Registered account administration, transaction processing, and CRA reporting	On-premises -- Toronto data centre	Restricted -- personal financial data and CRA-regulated information
Microsoft 365	Internal communications, document management, and collaboration	Cloud -- Microsoft Canadian region	Confidential and Internal
Client Online Banking Portal	Self-service portal for mortgage, trust, and investment account clients	Cloud -- Azure Canada Central	Restricted -- client authentication and account data
Toronto Primary Data Centre	Houses on-premises core banking and fiduciary systems, network infrastructure, and backup systems	On-premises -- 181 Bay Street, Toronto	Restricted -- physical access controls required

2.4 Why OSFI B-13 Applies to Lakeview Trust

Lakeview Trust Corporation is incorporated under the Trust and Loan Companies Act (Canada) and is a federally regulated financial institution subject to OSFI's supervisory mandate. OSFI Guideline B-13 applies to all federally regulated financial institutions including banks, trust companies, insurance companies, and federally regulated pension plans.

B-13 became effective on January 1, 2024. From that date, OSFI expects all regulated entities to have programs in place that meet the expectations set out across B-13's five domains. Non-compliance with a guideline does not create an automatic legal violation but OSFI treats material gaps as supervisory concerns that can trigger formal supervisory action including letters of direction, capital add-ons, and restrictions on business activities.

Lakeview Trust's size and risk profile place it in the mid-tier of OSFI-regulated entities. It is subject to proportionality expectations consistent with a trust company of its asset base and complexity -- more demanding than a small credit union but less demanding than a domestic systemically important bank.

> Proportionality principle: OSFI expects compliance efforts to be commensurate with the size, nature, scope, and complexity of operations. Throughout this assessment, findings are calibrated to what OSFI would reasonably expect of a trust company of Lakeview Trust's profile -- not to the standard applied to Canada's largest banks.

3. B-13 Framework Overview

Before examining gaps, it is important to understand the structure of what Lakeview Trust is being assessed against. B-13 is organized into five domains. Each domain contains a set of expectations expressed as outcomes OSFI wants to see achieved rather than prescriptive rules. This outcomes-based approach means Lakeview Trust has some flexibility in how it meets each expectation, but it also means there is no minimum checkbox approach -- OSFI will assess whether the spirit of each expectation is genuinely met.

Domain	Title	What OSFI Is Looking For
1	**Governance and Risk Management**	Board and senior management oversight of technology and cyber risk. A documented risk appetite for technology and cyber risk approved at board level. Clear accountability for technology risk management. Integration of technology risk into the enterprise risk management framework. The three lines of defense operate effectively for technology risk.
2	**Technology Operations and Resilience**	Reliable, well-managed, and resilient technology operations. Disciplined change management, incident management, and problem management processes. Documented and tested business continuity and disaster recovery capabilities. Technology asset inventory and lifecycle management. Capacity planning and performance monitoring.
3	**Cyber Security**	A comprehensive cyber security program protecting against threats to confidentiality, integrity, and availability. Threat and vulnerability management, identity and access controls, data protection, security monitoring, incident detection and response, and regular penetration testing. Staff security awareness program with measurable outcomes.
4	**Third-Party and Technology Service Provider Risk**	Rigorous management of technology risk introduced through outsourcing and third-party relationships. Due diligence before engaging technology service providers. Contractual security requirements. Ongoing monitoring of provider performance and security posture. Documented exit strategies for critical service providers.
5	**Technology Innovation**	Responsible adoption of emerging technologies including cloud computing, artificial intelligence, and open banking. Risk assessment before adopting new technologies. Governance over innovation activities. Management of risks specific to AI models including bias, explainability, and data quality.

4. Assessment Scope

4.1 What Is Included

This gap assessment covers all five domains of OSFI Guideline B-13 as they apply to Lakeview Trust Corporation's technology and cyber risk management practices. The assessment evaluates the following:

- All technology systems listed in Section 2.3 including cloud environments, on-premises data centers, and third-party hosted platforms
- All business lines described in Section 2.2 and their associated technology dependencies
- The governance and oversight structures at board and senior management level responsible for technology and cyber risk
- Third-party technology service provider relationships including FIS, Microsoft, and other significant technology vendors
- The cyber security program including access management, vulnerability management, monitoring, and incident response capabilities
- Business continuity and disaster recovery arrangements for all systems rated as critical to Lakeview Trust's operations

4.2 What Is Excluded

Excluded Area	Reason for Exclusion
Physical security of third-party data centers	Physical security of externally hosted facilities such as Microsoft Azure data centers falls under those providers' own security programs. Lakeview Trust's responsibility under B-13 is to assess and monitor provider security through vendor management practices, not to audit provider facilities directly.
OSFI Capital Adequacy and Liquidity Requirements	B-13 is a technology and cyber risk guideline. Capital adequacy, leverage ratios, and liquidity requirements are governed by separate OSFI guidelines and are out of scope for this assessment.
Non-technology operational risk	Operational risks arising from non-technology sources such as physical fraud, staff conduct, or legal risk are managed under Lakeview Trust's broader operational risk framework and are not addressed in a B-13 technology and cyber risk assessment.
Consumer protection compliance	FCAC compliance obligations related to consumer protection, disclosure requirements, and complaint handling are governed by separate regulatory frameworks and are out of scope for this assessment.

5. Assessment Methodology

5.1 How Gaps Were Identified

Each B-13 requirement was evaluated against Lakeview Trust's documented policies, procedures, implemented controls, and governance arrangements. For each requirement the assessor documented:

- What B-13 expects the organization to have in place
- What Lakeview Trust currently has in place based on available evidence

- The gap between current state and expected state
- The severity of that gap from both a compliance risk and a business risk perspective
- The recommended remediation action and a prioritization rating

Where Lakeview Trust's current practices partially meet a B-13 expectation, the gap is documented as partial rather than full. Partial gaps carry a lower severity rating than full gaps but still require remediation to reach the expected maturity level.

5.2 Maturity Scale

Each B-13 domain is assigned an overall maturity score using the following five-level scale. Maturity is assessed holistically across all requirements within a domain rather than averaging individual requirement scores, because domain maturity reflects the coherence and effectiveness of the overall program rather than the sum of its parts.

Level	Rating	Description
1	Initial	No formal program exists. Practices are ad hoc and undocumented. OSFI expectations are not met in any meaningful way. Immediate and significant remediation required.
2	Developing	Some practices exist but are largely undocumented, inconsistently applied, or not subject to oversight. Partial compliance with B-13 expectations. Substantial gaps remain.
3	Defined	Documented processes and controls exist and are generally followed. Some gaps remain relative to B-13 expectations. Board and management oversight is present but may not be fully effective.
4	Managed	Documented, consistently applied, and actively monitored. Meets most B-13 expectations. Minor gaps may exist. Regular testing and review of controls occurs.
5	Optimizing	Comprehensive, tested, and continuously improved. Fully meets or exceeds B-13 expectations. Benchmarked against industry best practice. The board receives regular, meaningful reporting on technology and cyber risk.

5.3 Gap Severity Rating

Individual gaps identified within each domain are rated using the following severity scale. Severity reflects the combined risk to Lakeview Trust from both a regulatory compliance perspective and a business risk perspective.

Severity	Criteria	Expected OSFI Response if Unaddressed
Critical	Requirement is not met at all. The gap represents a material failure to comply with a core B-13 expectation. Significant business or operational risk exists independent of regulatory risk.	High likelihood of formal supervisory action including a letter of direction or requirement to submit a remediation plan with board oversight. Potential restriction on business activities.
High	Requirement is substantially not met or is met only in a minimal way. A formal program or control exists in name but lacks effectiveness, documentation, testing, or governance oversight.	Likely supervisory observation or management letter finding. OSFI would expect evidence of active remediation at the next examination.

Medium	Requirement is partially met. The core control or program exists and is generally effective but has identifiable gaps in coverage, documentation, testing frequency, or board reporting.	Supervisory observation at examination. OSFI would expect the gap to be acknowledged and included in Lakeview Trust's internal remediation planning.
Low	Requirement is substantially met. Minor enhancements would improve alignment with B-13 expectations, but the current state represents a reasonable level of compliance for an institution of Lakeview Trust's profile.	Unlikely generating supervisory observation. Represents a continuous improvement opportunity rather than a compliance gap.

6. Regulatory Context and Consequences of Non-Compliance

This section provides the business and regulatory context that frames the urgency of every gap finding in this assessment. Understanding what OSFI can do when it identifies compliance gaps is essential for calibrating the priority of remediation investments.

6.1 OSFI's Supervisory Escalation Ladder

Stage	OSFI Action	What It Means for Lakeview Trust
1	**Supervisory Observation**	A finding documented in OSFI's supervisory letter following an examination. Lakeview Trust is expected to acknowledge the finding and include it in remediation planning. No formal requirement to respond but reputational and relationship risk if ignored.
2	**Management Letter**	A formal written communication from OSFI to identify concerns and request a response. Lakeview Trust must provide a written remediation plan with timelines. Board awareness is expected.
3	**Supervisory Direction**	A formal direction under OSFI's statutory authority requiring Lakeview Trust to take specific actions within defined timeframes. Non-compliance with direction is a statutory violation with serious consequences.
4	**Prudential Restrictions**	OSFI may restrict Lakeview Trust from paying dividends, making acquisitions, or growing its asset base until identified issues are remediated. Severe reputational and business impact.
5	**Administrator or Receivership**	In extreme cases of institutional risk, OSFI may appoint an administrator to take control of the institution. This represents a fundamental failure of governance and is extremely rare but not unprecedented.

6.2 The Business Case for B-13 Compliance

Beyond the regulatory risk, there is a compelling business case for Lakeview Trust to achieve strong B-13 compliance. The financial services sector is increasingly subject to reputational consequences from technology failures and cyber incidents that go beyond the immediate financial impact of the event itself.

- Client confidence in a trust company depends heavily on the perception that their assets and personal information are safe. A technology failure or cyber incident that becomes public damages client relationships in a way that is difficult to recover from in a high-trust business like personal trust services and registered account administration
- Institutional counterparties, correspondent banks, and insurance providers are increasingly conducting technology and cyber risk due to diligence on the organizations they work with. Strong B-13 compliance provides evidence that Lakeview Trust manages technology risk to a recognized standard
- Cyber liability insurance premiums and coverage terms are directly affected by the maturity of an organization's cyber security program. Closing B-13 gaps typically results in more favorable insurance terms at renewal
- As open banking and digital financial services continue to evolve in Canada, technology risk management maturity will increasingly be a prerequisite for participation in new digital financial services ecosystems

7. Assessment Deliverables

This gap assessment produces three documents that together give Lakeview Trust a complete picture of its B-13 compliance position and a clear path to remediation.

Document ID	Title	Purpose and Audience
LT-B13-001	**Company Profile and Assessment Scope (this document)**	Establishes organizational context, assessment of boundaries, methodology, and regulatory framework. Audience: all readers of the assessment series.
LT-B13-002	**B-13 Gap Analysis Spreadsheet**	Detailed requirement-by-requirement gap analysis across all five B-13 domains with severity ratings, current state documentation, and remediation recommendations. Audience: CRO, CISO, Technology Risk team, and internal audit.
LT-B13-003	**Executive Summary Report**	Plain-language summary of gap assessment findings, top priority gaps, domain maturity scores, remediation roadmap, and recommended board actions. Audience: Board of Directors, CEO, CRO.

8. Document Review and Approval

This document is reviewed by the Chief Risk Officer and approved by the Chief Executive Officer before the gap assessment series is distributed. Any change to the assessment scope, methodology, or company profile described in this document requires re-approval before the gap analysis findings are finalized.

Role	Name	Signature	Date
Prepared By	Ashkon Irani	[Signed]	05/20/2026
Reviewed By	Chief Risk Officer	[Signed]	05/20/2026

Approved By	Chief Executive Officer	[Signed]	05/20/2026

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